Risking It All on Partnerships

While I'm talking about risks, I want to briefly touch on one that most people never consider. One of the riskiest financial behaviors I know of is engaging in partnerships with other people. I've seen friends or family members go in together on businesses and investment deals, and I've seen them go sideways more often than not. Even if you know and love the other person, a partnership can ruin your chances for wealth building.

A legal partnership is basically a business marriage. You're going all in on an investment with another person, mixing your money with theirs, putting your financial well-being in someone else's hands. You're fully trusting this person to do what they say they're going to do. You're also trusting that nothing tragic or unexpected happens in that person's life, because if it does, that tragedy happens to *you* too. Partnerships most often fall apart due to what I call the Four Ds: drugs, divorce, death, and debt. If your partner, for example, develops a substance abuse problem, you now have an addict controlling your financial destiny. If he or she gets a divorce, you could have someone else's crazy ex coming after a huge piece of your business. If your partner dies, their adult kids may come after his piece of the company, leaving you with second-generation partners you don't know or trust. If your partner buys a ton of expensive equipment using debt without checking with you first, you're now on the hook for it whether you wanted it or not. I've seen all these things happen.